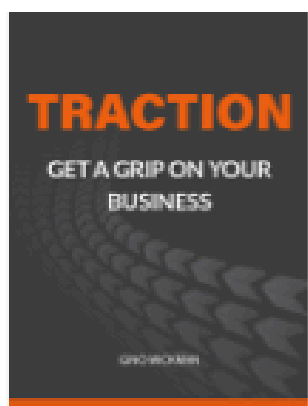




TRACTION®

Get a Grip on Your Business

GINO WICKMAN



The Big “So What”

Most entrepreneurs face 5 key challenges in growing their businesses. **Entrepreneurial Operating System® (EOS®)** is a set of comprehensive processes and tools to help leadership teams overcome these challenges, gain control of the business, operate efficiently, gain traction and move ahead as a healthy, effective and cohesive team.



Overview of the EOS®



The EOS® is ideal for small- to mid-sized companies with \$2-\$50 million revenues and 10-250 employees. It addresses 5 biggest frustrations that any entrepreneurial leadership team will face:

- Lack of control: Your business is running your life rather than the other way round.
- Your people—be it customers, vendors, partners, or employees—aren't aligned with your vision and goals.
- You're not making enough profits.
- You've hit a growth ceiling and don't know how to move forward.
- You lack sound strategies/tactics—nothing seems to work.



The EOS® integrates proven principles, frameworks and ideas from various sources into a complete system. It addresses 6 fundamentals that are core to any business: vision, people, data, issues, process and traction.



KEY QUOTES

"You are not your business. Your business is an entity in and of itself...to find success, you have to turn it into a self-sustaining organism."

"The EOS consists of timeless, practical, universal principles that have been tested in almost every kind of organization."

"If you are not happy with the current state of your company, you have three choices. You can live with it, leave it, or change it."



Implementing the EOS® involves change, which can be uncomfortable. To build a scalable, successful business, you (the founder/owner) must be willing to embrace 4 beliefs:

- You can't be the one deciding and doing everything. Build a real leadership team—hire people who're better than you, give them control and responsibility of specific areas, and present a united front to the rest of the organization.
- Organizations grow in spurts—you'll inevitably hit ceilings at individual, departmental and organizational levels. To punch through and surge ahead, your team must be able to do 5 things:
 - (i) Simplify. Your organization will get more complex as it grows; rules and processes must be constantly streamlined.
 - (ii) Delegate. You and your leaders must continually delegate tasks you've outgrown and elevate yourself to the next level, so both you and your business can grow.
 - (iii) Predict. You must work on your business, not get lost in it. This means concurrently forecasting long-term business needs beyond 90 days as well as immediate issues to be tackled on a daily/weekly basis.
 - (iv) Systemize. Initially, you're likely to deal with issues as they arise. You must eventually systemize the core processes in a way that allows anyone to manage and improve them.
 - (v) Structure. Your structure must evolve to support your next phase of growth. Don't allow personalities, ego, fear and status quo to get in the way.
- Run your business on 1 operating system so everyone's on the same page. When people use different terms, methods and metrics, things fall apart.
- Be open-minded. To grow, you must be willing to be honest and open about your vulnerabilities and to adopt new ideas.

KEY QUOTES

"As goes the leadership team, so goes the company."

"Organizations usually expand in spurts, by smashing through a series of ceilings."

"When you experience personal growth, the company will grow under you."

"Just as you need to figure out how to build an extension of yourself, your team can also extend the company by building teams under them, thus ensuring the company's continued growth."

"Too many organizations become stuck because they are set in their old ways and unwilling to change to fit their expansion."

We'll now explain each of the 6 key components and their associated tools. You can download the various tools and worksheets from eosworldwide.com.

- Why does our organization exist? Get each member of your leadership team to write down their answers to this question. Debate it over a few sessions (but don't overthink it). Summarize your purpose in 3-7 words using simple language. Make sure it's bold, has an "aha" effect, comes from the heart and involves everyone. For example, McKinley's purpose is "to enrich the quality of life in our communities".
- What's our niche? This is the 1 thing you'll focus on and do better than anyone else, be it "popcorn" or "moving people".

 What's our 10-year goal? Set a clear direction by articulating where your organization will be in 10 years. The leadership team must discuss and define a crystal-clear picture that can excite and unite everyone in the organization.

 What's our marketing strategy? Define who your ideal customers are and how you'll serve them well, with 4 components:

- The 3 Uniques™ that jointly differentiate you from competitors. Each item may not be exclusive to your organization, but the combination of all 3 items must be. For example, Southwest Airlines had a unique blend of fun, low fares and on-time flights. Get feedback from your sales team on what your customers find unique about you, then debate the list until you've defined your 3 Uniques™.
- Your guarantee is your promise on the problem you'll solve, e.g. Domino's promises to deliver your pizza in 30 minutes or it's free. This forces you to identify the solution for an industry-wide problem and ensure you can deliver it. Brainstorm (i) the biggest fears and frustrations of your key customers, (ii) the possible guarantees that'll drive more business and (iii) the penalty if you fail to deliver. Get feedback from your customers.
- Your proven process. Capture the process that has helped you to deliver results so far and present it visually in 3-7 steps. Each step is a major touch-point with your customers, summarized with 2-5 bullet points. This makes you stand out with potential customers and helps your staff to see where they fit. Name the process (e.g. "The ReadinGraphics Difference") and present it in a visually appealing way.

KEY QUOTES

"Find your core focus, stick to it, and devote your time and resources to excelling at it."

"Decide what business you are in, and be in that business."

"A 10-year target...is the one larger-than-life goal that everyone is working toward."

"The most common mistake that most organizations make (is) trying to be all things to all people. It's a game you will not win."

"You will not go out of a business without a guarantee, but you will attain your vision faster with one."

- Your target market. With your team, define the geographic, demographic and psychographic characteristics of your ideal customers, e.g. HR directors for companies in Canada with at least 200 staff. Develop a list of such customers and their contacts, identify the best way to reach them (e.g. cold call, referrals), and approach them with laser-focus. Communicate why you're unique, offer your guarantee and show your proven process.

 What's our 3-year picture? Define clearly what your business will look like 3 years from now—this facilitates your 1-year planning and is near-term enough to be highly motivating. Get each member of your leadership team to write down their 3-year mental picture and read it out (while the others imagine it with their eyes closed). Debate and agree on the picture you're committed to create, including revenue, profit and other measurables (e.g. # clients or volume of output).

 What's our 1-year plan? Agree on the 3-7 top priorities to be achieved this year to achieve your 3-year picture. Ensure they're specific, measurable and achievable. Less is more—it's better to focus on just a few key goals. Set a budget to ensure you have the resources to achieve the plan.

 What are our quarterly Rocks? From your 1-year plan, work backward on your Rocks—your top priorities for the next quarter.

 What are the issues? These are the key barriers that could keep you from your goals. Over 15 mins, get your team to list down *all* the opportunities, threats and obstacles you'll face.

Incorporate all the points from the 8 questions into the V/TO™.



Communicate the vision to everyone

With your vision on paper, you can now communicate it to everyone in the organization.

 Use 3 events: (i) a company-wide kick-off meeting with Q&A, (ii) quarterly company-wide update sessions and (iii) quarterly departmental/team reviews.

 Tips: Be prepared to repeat the vision many times before it truly sinks in. Welcome employees to share their views and concerns

KEY QUOTES

"With life and business moving as fast as it does.... there is little value in detailed strategic planning beyond a three-year window."

"Goals are set to be achieved...The team has to believe it's possible to hit the goal, or else you can't hold someone accountable to it."

"Now that you clearly know where you're going, you have to identify all of the obstacles that could prevent you from reaching your targets."

"When everyone's energy is going in the same direction, their accumulated drive will kick in and create an exponential force."

"People need to hear the vision seven times before they really hear it for the first time."

since it builds commitment to the goal. Your role is to share the vision and V/TO™ in a clear and compelling way; those who don't buy in will eventually leave.



2) People: Have the right people in the right seats

This component involves (i) identifying the right people for your organization and (ii) placing them in the ideal seats.



Identifying the Right People

The right people are those who share your company's core values and will thrive in your culture. Use the People Analyzer™ to assess the fit for each staff.

 Evaluate each staff to see if he/she exhibits the core values most of the time (+), sometimes (+/-) or rarely (-). Aim to have only staff with only "+" scores.

Name	Value 1	Value 2	Value 3	Value 4
Staff 1	+	+	+	+
Staff 2	+/-	+/-	+/-	+/-
Staff 3	-	-	-	-



Manage under-performers with the 3-strike rule.

- Set expectations and give them 30 days to change. If there's no improvement after 30 days, discuss their performance again. If there's no improvement after another 30 days, let them go.
- Once you communicate your values clearly and live by them, people who don't fit in will typically leave before the 3rd strike.



Roll out the People Analyzer™ with your leadership team, using peer analysis and the 3-strike rule. Then, have the leaders do it for the rest of their team members. Thereafter, use the tool in your quarterly performance reviews.



Putting People in the Right Seats

Now that you have the right people, you must place them in the right seats, i.e. the roles and responsibilities must match their Unique Ability® (strengths and passions). Use the Accountability Chart to define the right structure, then the GWC™ to place people.

KEY QUOTES

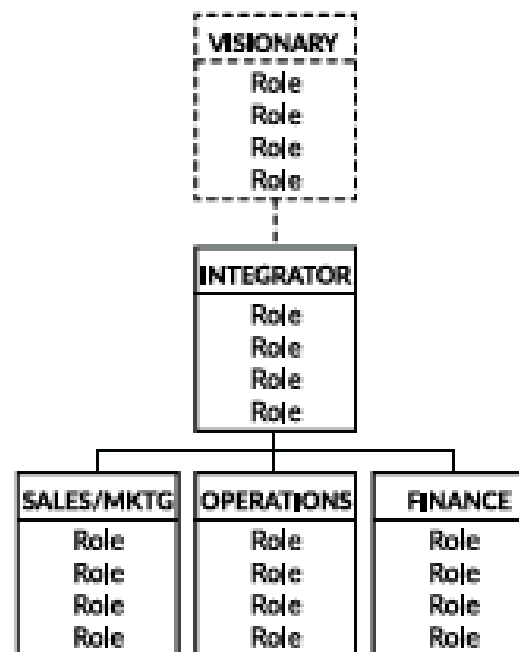
"It all comes down to getting the right people in the right seats."

"The power of setting the bar is that you give all managers absolute clarity on what is acceptable and what is not."



To define your ideal structure, ask this question: What's the right structure to propel us forward in the next 6-12 months?

- Flesh out the structure, with bullet points for the key roles and accountability for each seat.
- Generally, there are only 3 critical functions in any business regardless of your stage of growth: Sales/Marketing, Operations and Finance. All other sub-functions can be grouped under one of these 3 main functions, e.g. production, delivery and customer service may fall under "Operations".
- The 3 functions are unified by an Integrator (e.g. CEO, President) who's strong in LMA™—leading, managing and accountability.
- Some organizations may also have a Visionary (e.g. the owner) who's more intuitive and creative. In such cases, it's vital to define the roles of the Visionary and Integrator so they're both in the right seats and leveraging their strengths.



Having developed your Accountability Chart and structure, you can now use the GWC™ to fill in the boxes and place the right people in the right seat.

- GWC™ stands for "Get it, Want it, and Capacity to do it". When someone has all 3 GWC™ components, he/she understands the ins-and-outs of the job, truly likes the role and has the mental-physical-emotional capacity to excel in it.
- Have only 1 person accountable for each function. It's ok to have 1 person in 2 seats, but not 2 persons in 1 seat.



Implementing the new Accountability Chart

Your chart is ready when: (i) the structure will get you to the next level, (ii) the right people are in the right seats and (iii) people have enough time to do their job well.

KEY QUOTES

"Create only the structure first...then put the right people in the right seats."

"The integrator is the glue that holds the company together."

"Life is much easier for everyone when you have people around you who genuinely get it, want it, and have the capacity to do it."

"When more than one person is accountable, nobody is."

✂ This new Accountability Chart should replace your current org chart, though you may need to gradually phase out those who don't fit to avoid having too many gaps in your organization.

- Take time to explain the structure, roles and responsibilities so people understand them.
- Depending on your company's rate of growth, you may need to review the chart every 90 days so it evolves with your company. As people outgrow their roles (or vice versa), shift them so they can continue to focus on their Unique Ability®.

➡ Making tough decisions. When the wrong person is in the wrong seat, you must let him/her go.

- Right person, wrong seat. Certain staff may be right for your organization but the roles are too big/small for them or don't use their Unique Ability®. Simply shift the person to the right seat if it's available. If no such seat is available, let the person go for the good of both the individual and the company.
- Wrong person, right seat. A staff can have the skills to perform well in a role, yet be misaligned with your values, e.g. a top salesperson who lacks integrity. Let the person go, as the long-term damage could be worse than the short-term pain.



3) Data: Get the pulse on your business

Without hard data, you'll be running your business on subjective opinion and impulses. Use a Scorecard to get weekly updates on your business, so you can have the pulse of your business, see real-time patterns and make sound decisions.



Develop your Scorecard

With your leadership team, define the 5-15 key numbers (e.g. weekly revenue, cash balance, customer rating) that summarize your business pulse.



Ask yourselves: if you can't contact anyone in your organization, what are the numbers that'll give you a clear sense of how your business is doing? Put these into a company scorecard. For each indicator, define (i) who's accountable, (ii) the weekly goal (tied to your 1-year plan), and (iii) who will update the scorecard.

KEY QUOTES

"You must do a little pruning from time to time for the organization to flourish."

"No matter how difficult the issue is, you have to make a good business decision here for the long haul."

"Only factual information can provide the basis for productive discussion and decision-making."

"What gets measured gets done."

- ✓ **Tips:** Go for activity-based numbers that help you to anticipate problems, e.g. instead of tracking revenue, track the activities that drive revenue such as # leads generated or # orders. Use red-flags to highlight numbers that are off-track, e.g. highlighting them in red.



Have Measurables for Everyone

Eventually, aim to translate the company scorecard into 1 meaningful, manageable number for every person in the company. This provides a concrete way for ongoing improvement at all levels.

- ⚙️ **Everyone has a number** e.g. the receptionist picks up the phone within 3 rings while the production executive completes 15 QC-approved units each shift. Use the roles in the Accountabilities Chart as a starting point to define the numbers.

- 👁️ **Communicate and display** the numbers clearly, so people are crystal-clear on their targets and can identify problems early. It also injects friendly competition and promotes teamwork, since people can see how they each contribute to the wider goal.



4) Issues: Build a solutions-oriented environment

Issues are the obstacles to your goals and vision. Most entrepreneurs are so overwhelmed with firefighting that they don't make time to uncover the root problems. It's also human nature to procrastinate on tough decisions. **Create an open, solutions-oriented environment where issues are flagged out, assessed and managed at all levels.**



Develop and manage your Issues List



Use 3 types of Issues Lists to bring problems out into the open:

- V/TO™: Here, list all issues that can be tackled after 90 days, e.g. new product ideas, office relocation.
- Weekly leadership team meetings: Here, senior leaders address all strategic issues for this week/quarter, e.g. company Rocks that're off-track.
- Departmental meetings. Here, weekly/quarterly issues that can be handled at departmental level are resolved, e.g. sales orders.

KEY QUOTES

"When an employee is clear on his or her number and agrees that he or she can achieve it, you have commitment."

"With the vision clear, people in place and data being managed through a Scorecard, you're creating a transparent organization where there is nowhere to hide."

"Problems are like mushrooms: When it's dark and rainy, they multiply. Under bright light, they diminish."

"Your ability to succeed is in direct proportion to your ability to solve your problems."

"More is lost by indecision than by wrong decisions."



Resolve issues with IDS™



Don't tackle the issues list in sequential order. Scan the list, pick the top issues then use the 3-step IDS™ process to resolve them quickly.

- Identify the real issue. Don't waste time on the wrong issue—the stated problem is usually the symptom, not the cause. Take time to peel away the layers—once the root issue is identified, the solution tends to become clear and other issues will dissolve on their own. Be prepared to get uncomfortable, as the real issue often boils down to people and even the leadership team.
- Discuss. Once you identify the issue correctly, this step is simple. Let everyone air their views succinctly about the issue once.
- Solve the problem by deciding on a specific action step. This may involve (i) taking a direct action to solve the problem, (ii) agreeing on a new principle or rule, or (iii) assigning someone to research the issue for discussion at a next meeting.



Tips: Don't rely on second-hand info—bring in the people who're involved in the decision. Don't make decisions by consensus, but present a united front once a decision is made. Always end the meeting by summarizing the solution and who will do what.



5) Process: Systematize your Way of doing business

An organization typically has 6-10 core processes that are linked together via a unique system—this is what Michael Gerber calls your "franchise prototype". **Define and document your unique Way of doing things, so it can be consistently applied and refined, giving you the option to duplicate, scale, maintain or sell your business.**



Document your Core Processes



Together with your leadership team, identify your 6-10 core processes and name them so you use the same terms. Examples include: HR (how you find, hire, integrate, manage and reward people), sales (how you convert a prospect to a customer), accounting (how you manage your money and cashflow).

KEY QUOTES

"The stated problem is rarely the real one."

"Everyone should say what they believe but they should say it only once, because more than once is politicking."

"Consensus management does not work, period."

"Nothing can be fine-tuned until it's first consistent."



Get the person accountable for each core process (under the Accountability Chart) to document the process. Use the 80/20 rule—document the 20% that deliver 80% results. Each process can usually be captured in 2-10 pages of bullet points. Streamline the processes, e.g. remove/combine steps, develop checklists.



Package the materials and make them available for training and reference.



Adopt the System Organization-Wide

Get everyone to adopt the system. Present the system and its component parts visually so people can see how their activities impact others, and how the system will benefit both their individual work and company results. Explain and reinforce it at your company meetings and training.



6) Traction®: Bring the Vision to Life

To bring your vision to life, you need to execute your plans and sustain the momentum. Instill discipline and accountability with 2 key components: Rocks and Meeting Pulse™.



Focus on Quarterly Rocks

Humans have a short attention span and tend to lose focus beyond 90 days. **To retain focus and momentum, break down your scary long-term goals into bite-sized pieces and short 90-day bursts.**



Each quarter, identify the Rocks (your 3-7 biggest priorities) at the company, departmental and individual levels so everyone's aligned on a few key goals. When you get the biggest chunks (the Rocks) out of the way, the smaller pieces will fall in place.



Do a full-day review with your leadership team every 90 days:

- Review the V/TO™, list the priorities for the next 90 days, then narrow down to 3-7 Rocks for this quarter. Ensure each Rock is specific, measurable and achievable, e.g. "get 3 core accounts at ≥\$1 mil each". Assign 1 person who'll be fully accountable for the completion of the Rock that quarter.

KEY QUOTES

"The world is filled with many great visions. Unfortunately, most will go unrealized due to an inability to gain traction."

"To the degree that you focus everyone in one direction, you'll gain the power of (a) laser beam, gaining traction toward your goals."

"Less is always better, and a few priorities are better than many. Do less, accomplish more."

- From the company Rocks, set 3-7 Rocks for each leadership team member. Consolidate them onto a Rock Sheet for your weekly meetings. No new priorities can be added that quarter.
- Share the company Rocks with the whole organization. Each department will then set their own team Rocks. Unlike the company and leadership team members (who have 3-7 Rocks each), all other staff should have only 1-3 Rocks.

✓ **Tips.** Don't rush the process as setting the wrong Rocks will mean wasting a full quarter. Give yourself at least 2 quarters to get a hang of the process and commit to the routine—don't let it fizzle out.



Meeting Pulse™

Well-run meetings are essential for accountability, results and efficiency. The Meeting Pulse™ comprises quarterly and weekly meetings where the leadership team meets (without fail) to drive progress and solve issues. 90-day issues go into the V/TO™ and 7-day issues go into the weekly To-Do list.



Quarterly meetings. Leaders meet off-site for about 8 hours with a strategic focus. Everyone comes with a completed V/TO™ and a list of proposed issues and priorities for the coming quarter.

Agenda	Description
Set the tone	Each person shares (i) best business & personal news last quarter, (ii) what's working/not working and (iii) expectations for the mtg.
Review last quarter	• Review the V/TO™: recommit to vision + update issues list. • Review all key numbers and Rocks: done vs not done. • Examine reasons for each incomplete Rock. Decide whether to (i) bring over to the next quarter, (ii) put in weekly To-Do list (if already ≥ 95% complete), or (iii) reassign to someone else.
Set Rocks for next quarter	• List down priorities → Narrow down to 3-7 company Rocks. • Set 3-7 Rocks for leaders + get someone to compile Rock Sheet.
Resolve key issues	• Each leader to share additional issues if any. • Review issues list. Pick top 3 issues and resolve using IDS™. • Solve as many as possible. The rest go into V/TO™ or To-Do list.
Next steps	Summarize who to do what.
Conclude	Each person shares (i) feedback on meeting (ii) if expectations were met and (iii) rating for the meeting.
Note: Aim to complete ≥80% Rocks and get ≥80% rating for each meeting.	

KEY QUOTES

"The Meeting Pulse is your organization's heartbeat."

"You will rarely solve (all the issues). The important thing is to make sure you're solving them in order of priority."



Annual meeting. Leaders meet off-site for 2 days. Everyone comes with a completed V/TO™, suggested goals and a proposed budget for the next year. Use the agenda below for Day 1, and follow the quarterly meeting agenda above for Day 2.

Day 1 Agenda	Description
Set the tone	Each person shares (i) 3 top business achievements that yr, (ii) 1 top personal achievement and (iii) expectations for the mtg.
Review last year	Review key numbers and last quarter's Rocks and what worked or didn't work. Be as specific as possible.
Build Team Health	Each person (i) gets feedback on his/her 1 greatest strength and 1 biggest weakness wrt to the company's success and (ii) commits to doing 1 thing differently the next year.
SWOT/ Issues List	Each person shares what he/she thinks the key SWOTs are. The items go into Issues List.
V/TO™	• Review V/TO™: Challenge assumptions/goals. • Define new 3-Year picture and new 1-year plan.



Weekly meeting. Leaders meet for 90min in the office to solve problems and keep things ontrack. Everyone comes with the Rock Sheet and completed Scorecard. Stick to the same agenda, duration, time and place every week.

Agenda	Description
Set the tone (5min)	• Start on time and turn off all electronic devices. • Share good news as a team.
Scorecard (10min)	• Review key numbers quickly. • All off-track numbers go into the IDS™.
Rock review (10 min)	• Review company and individual Rocks. • All off-track items go into the IDS™.
Client/staff headlines (5min)	• Share key good/bad updates about customers and employees • Issues are added to the IDS™.
To-Do list (10min)	• Review last-week's to-dos. Delete "done" items. • No item to stay on the list for >2 weeks.
IDS™ (45min)	• Scan issues list. Work on top 3 issues, then next 3 etc. • Any identified solutions go into To-Do list.
Conclude (5min)	• Recap To-Do list. • Agree on comms (if any) to the rest of the organization.
Note: Aim to finish 90% of To-Do items and get 100% rating for each meeting.	

KEY QUOTES